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Case Number: 24STCV31459 Hearing Date: June 23, 2026 Dept: 529

ROGER ANDERSON AS TRUSTEE OF THE RWA TRUST DATED MARCH 14, 2014 VS

FIDELITY NATIONAL TITLE INSURANCE COMPANY, ET AL.

MOTION

FOR SUMMARY ADJUDICATION AND DEMURRER

Date

of Hearing: June 23, 2026 Trial Date: None

set

Department: 529 Case No.: 24STCV31459

BACKGROUND

On November 27, 2024, Plaintiff Roger

Anderson as Trustee of The RWA Trust Dated March 14, 2014 filed a complaint

against Defendant Fidelity National Title Insurance Company and Defendant

Fidelity National Title Company for declaratory judgment, breach of contract,

bad faith/breach of covenant of good faith and fair dealing, violation of the

I.

California Unfair Business Practices Act, and professional negligence. Plaintiff filed this action to determine Defendants' duty to defend and indemnify Plaintiff in the underlying action, Antonio Becerra et al. v. Roger Anderson et al., Los Angeles Superior Court Case No. 23STCV29374.

On March 11, 2026, Plaintiff filed a First Amended Complaint.

[TENTATIVE] RULING

I. Motion for Summary Adjudication is GRANTED

II. Defendant Fidelity National Title Insurance Company's Demurrer with Motion to Strike is SUSTAINED, in part; GRANTED.

III. Defendant Fidelity National Title Company's Demurrer is SUSTAINED.

DISCUSSION

I.

MOTION FOR SUMMARY ADJUDICATION

Defendant Fidelity National Title Insurance Company moves the court for summary adjudication in its favor on the first, second and third causes of action in Plaintiff's Roger Anderson's complaint. Defendant Fidelity makes the motion on the grounds Mr. Anderson's title insurance claim is not even potentially covered by the subject policy of title insurance.

Evidentiary Objections

Defendant Fidelity National Title Insurance Company objects to the declaration of Roger Anderson and Darren T. Brenner.

Anderson Decl. – The court sustains objections 1, 2, 5, 6, 7, 8, and 14.

Brenner Decl. – The court sustains objections 7 as to Brenner's description of the exhibit.

Request for Judicial Notice

Defendant Fidelity requests this court take judicial notice of the Deed of Trust, Assignment of Leases and Rents, Fixture Filing, and Security Agreement; Request for Notice recorded on December 2, 2019 in the official records of Los Angeles, California as Inst. No. 20191318340 (Exh. H) and the May 27, 2025 minute order denying Antonio and Guadalupe Becerra (the "Becerras") motion for leave to file first amended complaint in the action entitled Antonio Becerra, et al. v. Roger Anderson, Trustee of the RWA Trust Dated March 14, 2014, et al., Los Angeles Superior Court as Case No. 23STCV29374 (Exh. I).

The court GRANTS the request for judicial notice.

In opposition, Plaintiff requests this court take judicial notice of the Complaint filed in the underlying action entitled Antonio Becerra, et al. v. Roger Anderson, Trustee of the RWA Trust Dated March 14, 2014, et al., Los Angeles Superior Court Case No. 23STCV29374 (Exh. 31) and the Order Granting Plaintiffs' Motion for Preliminary Injunction in the Underlying Action, which enjoined enforcement of the Deed of Trust on the property located at 1008 Adelante Avenue, Los Angeles, California (Exh. 32).

The court GRANTS the request for judicial notice.

Analysis

As noted above, Defendant Fidelity moves for summary adjudication on the first, second and third causes of action because there is no potential for coverage of the claims asserted by the Becerras against Mr. Anderson.

"The purpose of the law of summary judgment is to provide courts with a mechanism to cut through the parties' pleadings in order to determine whether, despite their allegations, trial is in fact necessary to resolve their dispute." (Aguilar

v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure section 437c(c), "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119.) "The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues; the function of the affidavits or declarations is to disclose whether there is any triable issue of fact within the issues delimited by the pleadings." (Juge v. County of Sacramento (1993) 12 Cal.App.4th 59, 67, citing FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367, 381-382.)

As to each cause of action as framed by the complaint, a defendant moving for summary judgment or summary adjudication must satisfy the initial burden of proof by presenting facts to show "that one or more elements of the cause of action ... cannot be established, or that there is a complete defense to the cause of action." (CCP § 437c(p)(2); see also Aguilar, supra, 25 Cal.4th at pp. 850-851; Scalf v. D. B. Log Homes, Inc. (2005) 128 Cal.App.4th 1510, 1520.) Once the defendant has met that burden, the burden shifts to the plaintiff to show that a “triable issue of one or more material facts exists as to the cause of action or a defense thereto.” (CCP § 437c(p)(2); see also Aguilar, supra, 25 Cal.4th at pp. 850-851.) Courts “liberally construe the evidence in support of the party opposing summary judgment and resolve doubts concerning the evidence in favor of that party.” (Dore v. Arnold Worldwide, Inc. (2006) 39 Cal.4th 384, 389.)

Fidelity argues it had no duty to defend and indemnify Mr. Anderson in the Becerra’s action as there is no potential for coverage for the Becerras’ claims under the ALTA 27-06 endorsement issued in 2019. Fidelity first argues the Policy and the ALTA 27-06 Endorsement does not cover the claims against Mr. Anderson. Fidelity first points to Exclusion 5 of the Policy, which states “[t]he following matters are expressly excluded from the coverage of this policy, and the Company will not pay loss or damage, costs, attorneys’ fees or expenses that arise by reason of … 5. Invalidity or unenforceability in whole or in part of the lien of the Insured Mortgage that arises out of the transaction evidenced by the Insured Mortgage and is based upon usury or any consumer credit protection or truth-in-lending law.” (UMF 10.) While the Endorsement added back some coverage specifically barred by Exclusion 5, that endorsement was limited to “loss or damage sustained by the Insured by reason of the invalidity or unenforceability of the lien of the

Insured Mortgage as security for the Indebtedness because the loan secured by the Insured Mortgage violates the usury law of the state where the Land is located.” (UMF 11.) The Policy defines the term “Insured Mortgage” to mean and refer to the original, Deed of Trust from 2019. (UMF 6-7.) The Policy also defines the term “Indebtedness” to mean and refer to the “obligation secured by the Insured Mortgage….” (UMF 8.) Moreover, the Underlying Action explicitly alleges the Modification in December of 2021 was usurious with no reference to the original loan and deed of trust. As for the CLTA 110.10-06 Endorsement, Fidelity argues the Endorsement makes clear that it does not “(ii) modify any prior endorsements” (such as the earlier-issued ALTA 27-06 endorsement) and that it does not “(iii) extend the Date of the Policy.” (UMF 20.)

Fidelity further argues this interpretation is not ambiguous. “[An insurance] policy provision is ambiguous only if it is susceptible to two or more reasonable constructions despite the plain meaning of its terms within the context of the policy as a whole.” (John's Grill, Inc. v. The Hartford Fin. Servs. Grp., Inc. (2024) 16 Cal. 5th 1003, 1014.) “The mere fact that a word or phrase in a policy may have multiple meanings does not create an ambiguity. Rather, the meaning of the word or phrase must be considered in light of its context.” (Id.) “If the terms are ambiguous, we interpret them to protect the objectively reasonable expectations of the insured.” (Id.)

“Only if these rules do not resolve a claimed ambiguity do we resort to the rule that ambiguities are to be resolved against the insurer.” (Id.) “If an insured could not reasonably expect coverage, we do not construe ambiguous language in favor of coverage.” Farmers Ins. (Exch. v. Knopp (1996) 50 Cal. App. 4th 1415, 1422.) Fidelity contends Mr. Anderson’s belief that any insurance claim that he might have presented to Fidelity to have been covered does not make the word ambiguous and the court cannot properly consider the insured’s subjective beliefs for purposes of ascertaining what was objectively reasonable for the insured to expect. (See Ameron Internat. Corp. v. Ins. Co. of State of Pennsylvania (2010) 50 Cal. 4th 1370, 1378 holding “[i]f ambiguity exists, however, the courts must construe the provisions in the way the insurer believed the insured understood them at the time the policy was purchased.”)

Lastly, Fidelity argues Exclusion 3(a) separately precludes any potential that there may be coverage under the policy as there can be no debate that Mr. Anderson “created” the issue for which he now seeks coverage. Specifically, the Becerras’ complaint clearly alleges that it was Mr. Anderson, himself, who authored the 2021 modification which is asserted to be usurious. (UMF ¶ 27-28.) In other words, Mr. Anderson intended to modify the original 2019 loan, and in so doing created the usurious 2021 modification. He created the very claim for which he now desires coverage, a situation expressly excluded by Exclusion 3(a).

As a result, Fidelity contends without any potential for coverage, there can be no duty to defend or indemnify. (See “[W]here there is no possibility of coverage, there is no duty to defend[]” [Liberty Nat'l Enterprises, L.P. v. Chicago Title Ins. Co. (2013) 217 Cal. App. 4th 62, 76] and “[w]here there is a duty to defend, there may be a duty to indemnify; but where there is no duty to defend, there cannot be a duty to indemnify.” [Certain Underwriters at Lloyd’s of London v. Superior Court (2001) 24 Cal. 4th 945, 958]; see also “[i]t is clear that if there is no potential for coverage and, hence, no duty to defend under the terms of the policy, there can be no action for breach of the implied covenant of good faith and fair dealing because the covenant is based on the contractual relationship between the insured and the insurer.” [Waller v. Truck Ins. Exchange, Inc. (1995) 11 Cal.4th 1, 36.].)

In opposition, Plaintiff argues the issue here is not whether Anderson will establish coverage. Rather, the question is whether Fidelity has eliminated every reasonable basis for potential coverage. At minimum, triable issues exist regarding whether ALTA 27-06 usury endorsement, CLTA 110.10-06 modification endorsement, and the insured loan documents collectively support coverage for the claims asserted in the Becerra action. Specifically, the

Policy defines Indebtedness by reference to the obligation secured by the Insured Mortgage, the Deed of Trust expressly includes modifications within that Indebtedness, and the CLTA 110.10-06 modification endorsement states that the modified obligation remains secured by the Insured Mortgage. (AMF ¶¶142-143, 154.) Thus, Fidelity cannot demonstrate, as a matter of law, that there is no possible coverage where its own endorsement uses the Policy's own defined terms to describe the 2021 modification as part of the same insured security structure that ALTA 27-06 protects against usury-related invalidity. Moreover, the ALTA 27-06 usury endorsement contains no "at Date of Policy" limitation; the preprinted Exclusion 5 for usury is overcome by ALTA 27-06 and CLTA 110.10-06; and CLTA 110.10-06's plain language independently supports coverage. Plaintiff also argues Rosen v. Nations Title Ins. Co. (1997) 56 Cal. App. 4th 1489 and Quelimane Co. v. Stewart Title Guar. Co. (1998) 19 Cal. 4th 26 do not support Fidelity's position that title insurance does not cover events occurring after the policy date. In Rosen, the insurer was a stranger to the post policy conduct—a bankruptcy priming loan that the insurer had no role in arranging, advising on, or endorsing. Here, however, Fidelity actively participated in the 2021 modification. Similarly, Quelimane did not involve insured loan documents that themselves defined "Indebtedness" to include later modifications, nor did they involve an insurer-issued modification endorsement using the same defined coverage terms.

Taken together, plaintiff argues the ambiguity in the Policy defeats Fidelity's MSA. As noted above, the ALTA 27-06 usury endorsement does not contain an "at Date of Policy" limitation. The CLTA 110.10-06 modification endorsement uses policy-defined terms to describe the modification as part of the same insured security structure. The loan documents define "Indebtedness" to include modifications. Accordingly, these provisions, read together, create at least two reasonable interpretations.

As to any claim that Mr. Anderson "created" the usury defect by arranging the 2021 modification without broker involvement, Plaintiff argues that argument fails on this record for three independent reasons: (1) Exclusion 3(a) is an intentional acts exclusion that does not reach negligent or inadvertent conduct; (2) the factual predicate for the exclusion—a brokerless modification—is squarely disputed; and (3) Fidelity's own active participation in the modification precludes application of the exclusion as a matter of law. In addition, "[f]acts extrinsic to the complaint give rise to a duty to defend when they reveal a possibility that the claim may be covered by the policy." (Waller, supra, 11 Cal.4th at p. 19.) In this case, Fidelity possessed extrinsic facts tying the modification to the insured security structure—including its own CLTA 110.10 modification endorsement language—and facts contradicting the complaint's "brokerless modification" premise. Fidelity knew Anderson sought modification coverage through Fidelity. Fidelity knew the closing instructions identified Olympia Financial as broker and required a borrower-signed settlement statement. (Anderson Decl., ¶6; COE, Ex. 5; AMF No. 150.) Fidelity later received confirmation from its own personnel that a CLTA 110.10-06 modification endorsement or comparable modification endorsement would keep the original ALTA policy and ALTA 27-06 usury endorsement protection in place so long as the interest rate did not change. Even Fidelity's own handler admitted to the potential for coverage under the Policy and its endorsements.

The court finds Plaintiff has failed to establish a triable issue of material fact. As noted by Fidelity, the Policy defines the term "Insured Mortgage" to mean and refer to the original, Deed of Trust from 2019. (UMF 6-7.) The Policy's ALTA 27-06 "insures against loss or damage sustained by the Insured by reason of the invalidity or unenforceability of the lien of the Insured Mortgage as security for the Indebtedness because the loan secured by the Insured Mortgage violates the usury law of the state where the Land is located." (UMF 11.) Accordingly, the Policy and the ALTA 27-06 Endorsement do not cover the Modification in December of 2021. (See Rosen, supra, 56 Cal. App. 4th at p. 1499 holding "policyholders are only protected against defects, liens or encumbrances in existence when they take title, and are not insured against defects which may arise later.") Moreover, the ALTA and CLTA Endorsements contain an identical provision limiting the scope of what they modify: "This endorsement is issued as part of the policy. Except as it expressly states, it does not (i) modify any of the terms and provisions of the policy, (ii) modify any prior endorsements, (iii) extend the Date of Policy, or (iv) increase the Amount of Insurance…." (UMF 20.) These terms are not ambiguous. While ambiguity in an insurance policy is generally construed against the insurer, it is not an absolute. Ambiguities must first be resolved by examining whether the insured had an objectively reasonable expectation of coverage. (See Ameron Internat. Corp., supra, 50 Cal.4th at p. 1378.) In the instant matter, it is not objectively reasonable to believe the modifications extended coverage where the language states that endorsements do not extend the Date of Policy except as they expressly say.

As for Plaintiff's estoppel contention, estoppel generally cannot be used to create insurance coverage where none exists under the policy. (Komorsky v. Farmers Ins. Exch. (2019) 33 Cal. App. 5th 960, 972.) The court notes it disagrees with Defendants' Exclusion 3(a) theory. Defendants have failed to meet their burden showing intentional conduct.

The court notes Plaintiff's request to take further discovery. Plaintiff contends this discovery is essential to oppose the MSA because Fidelity seeks a ruling not only on policy text, but also on what Fidelity knew, what it investigated, what extrinsic facts it considered or ignored, why it omitted CLTA 110.10-06 usury endorsement analysis from the initial denial, why its defense position shifted over time, and how it analyzed settlement authority, reservation of rights, and potential indemnity exposure.

The court denies the request for discovery. The MSA is based on whether the Policy, as written, potentially covered the claims the Underlying Action actually alleged.

Based on the foregoing, the motion for summary adjudication is GRANTED.

II.

DEMURRER WITH MOTION TO STRIKE

Defendant Fidelity National Title Insurance Company ("FNTIC") demurs to the first cause of action for declaratory relief, fourth cause of action for violation of Business and Professions Code section 17200 et seq., fifth cause of action for professional negligence, sixth cause of action for negligence – escrow holder duties/failure to follow closing instructions, and seventh cause of action for negligence – negligent advice/negligent undertaking/negligent misrepresentation in Plaintiff Roger Anderson's first amended complaint.

A demurrer for sufficiency tests whether the complaint states a cause of action.¿ (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)¿When considering demurrers, courts read the allegations liberally and in context.¿ (Wilson v. Transit Authority of City of Sacramento (1962) 199 Cal.App.2d 716, 720-21.)¿In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice.¿(Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.)¿"A demurrer tests the pleading alone, and not on the evidence or facts alleged." (E-Fab, Inc. v. Accountants, Inc. Servs. (2007) 153 Cal.App.4th 1308, 1315.) As such, the court assumes the truth of the complaint's properly pleaded or implied factual allegations. (Id.) The only issue a demurrer is concerned with is whether the complaint, as it stands, states a cause of action. (Hahn, supra, 147 Cal.App.4th at 747.) Before filing a demurrer, demurring party is also required to meet and confer with the party who filed the pleading demurred to for the purposes of determining whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (See CCP § 430.41.)

The court notes Defendant has satisfied the meet and confer requirements.

First Cause of Action

FNTIC argues the first cause of action for declaratory relief is moot. In opposition, Plaintiff argues the declaratory relief claim is not moot. While the Underlying Action has settled, the parties' dispute regarding defense costs, reimbursement obligations, indemnity, and the scope of FNTIC's contractual obligations under the Policy remains very much alive.

The court agrees Plaintiff has failed to state a claim for declaratory relief. The complaint alleges Plaintiff seeks declarations that FNTIC owed and breached a duty to defend the Underlying Action, FNTIC must reimburse all reasonable and necessary defense costs incurred from tender forward, FNTIC's conduct in exercising defense and settlement control is consistent with a defense undertaken under Policy Condition 5(a), FNTIC's defenses to coverage, reimbursement, and allocation are limited to the extent permitted by law and the Policy, FNTIC was required to provide a defense of the Underlying Action once a claim adverse to Plaintiff's insured lien was asserted and there was at least a potential

for coverage under the Policy/endorsements. These are not based on a live dispute. "If there is a controversy that calls for a declaration of rights, it is no objection that past wrongs are also to be redressed; but there is no basis for declaratory relief where only past wrongs are involved. Hence, where there is an accrued cause of action for an actual breach of contract or other wrongful act, declaratory relief may be denied.'" (Osseous Technologies of America, Inc. v. DiscoveryOrtho Partners LLC (2010) 191 Cal.App.4th 357, 366.)

Moreover, based on the court's ruling on the motion for summary adjudication filed by FNTIC, this defendant is entitled to judgment on the declaratory relief cause of action on the merits, given this court's interpretation of the parties' contract.

Based on the foregoing, the demurrer is SUSTAINED WITHOUT LEAVE TO AMEND.

Fourth Cause of Action

FNTIC argues the fourth cause of action for violation of Business and Professions Code 17200 fails to plead a viable form of relief on the grounds that it fails to set forth sufficient facts to constitute a cause of action against Fidelity Insurance.

California Business and Professions Code section 17200 prohibits "any unlawful, unfair or fraudulent business act or practice." (Bus. & Prof. Code § 17200; see Clark v. Superior Court (2010) 50 Cal.4th 605, 610.)

FNTIC argues Plaintiffs cannot allege restitution because there are no allegations of what money or property FNTIC now wrongfully possesses and there can be no injunction because there is no ripe claim for injunctive relief. Furthermore, the California Court of Appeal has made clear that insurance companies are not fiduciaries of their insureds. “[A] true fiduciary must first consider and always act in the best interests of its trust and not allow self-interest to overpower its duty to act in the trust's best interests.” (Love v. Fire Ins. Exch. (1990) 221 Cal. App. 3d 1136, 1148.) Accordingly, Mr. Anderson cannot obtain some kind of injunction requiring Fidelity Insurance to provide coverage where none exists simply because he was harmed by Fidelity Insurance’s refusal to pay a non-covered claim.

In opposition, Plaintiff argues FNTIC wrongfully withheld defense costs it was obligated to pay under the Policy—those costs are restitutionary in nature because they represent money Anderson paid out of pocket that FNTIC was contractually obligated to bear. Moreover, injunctive relief is available because the FAC alleges an ongoing institutional practice in which FNTIC and its affiliated entities conflate in-house counsel’s client-loyalty obligations with fiduciary-like claim-handling duties owed to insureds, and direct insureds to cease investigating affiliated entities whose conduct is in dispute.

The court finds Plaintiff cannot allege a UCL claim given the court’s ruling granting Fidelity’s summary adjudication motion. Based on the foregoing, the is SUSTAINED

WITHOUT LEAVE TO AMEND.

Fifth Cause of Action, Sixth Cause of Action, and Seventh Cause of Action

Defendants demur to the fifth, sixth and seventh causes of action on the grounds Plaintiff fails to set forth sufficient facts to constitute a cause of action against Fidelity Insurance.

The elements for negligence are: (1) a legal duty owed to the plaintiff to use due care; (2) breach of duty; (3) causation; and (4) damage to the plaintiff. (County of Santa Clara v. Atlantic Richfield Co. (2006) 137 Cal.App.4th 292, 318.)

Defendants argue these claims all fail against Fidelity Insurance because Condition 14 of the Policy expressly limits the scope of the relationship between Mr. Anderson and Fidelity Insurance. Condition 14(b) specifically notes that “[a]ny claim of loss or damage that arises out of the status of the Title or the lien of the Insured Mortgage or by any action asserting such claim shall be restricted to this policy…” Accordingly, because Mr. Anderson’s claim in this lawsuit indisputably “arises out” of the Becerras’ challenge to the lien of the insured mortgage, the plain language of the Policy limits Fidelity Insurance’s liability to the terms of the Policy.

In opposition, Plaintiff argues the FAC expressly states that

FNTIC is vicariously liable for FNTC’s escrow/title negligence “occurring within the course and scope of that agency and/or joint venture.” Moreover, Condition 14 limits claims that “arise out of the status of the Title or the lien of the Insured Mortgage.” But the negligence claims do not arise out of the status of title or the lien.

Here, the court finds Condition 14 restricts claims arising from the status of title or the insured mortgage to the policy itself. It does not eliminate the insurer's respondeat superior liability for its agent's negligent performance of services in conjunction with issuing the policy. However, as noted below, the claims against Fidelity Title are not sufficiently alleged.

Based on the foregoing, the demurrer is SUSTAINED WITH LEAVE TO AMEND.

Motion to Strike

Defendant FNTIC moves to strike allegations as it relates to Mr. Anderson’s request for punitive damages in paragraph 273 and seventh prayer. Defendant makes the motion on the grounds nowhere does Mr. Anderson describe how any of the above actions might rise to the level of actions “so vile, base, contemptible, miserable, wretched or loathsome that it would be looked down upon and despised by ordinary decent people.”

Reading the complaint as a whole, the court finds the allegations are insufficient to support a claim for punitive damages. The complaint does not sufficiently allege that Fidelity Insurance's review of the claim, denial, reconsideration and ultimate affirmation of the denial constitutes 'despicable' conduct.

The court GRANTS the motion to strike with leave to amend.

III.

DEMURRER

Defendant Fidelity National Title Company ("FNTC") demurs to the second cause of action breach of contract, third cause of action for bad faith, fourth cause of action for violation of Business and Professions Code section 17200 et seq., fifth cause of action for professional negligence, sixth cause of action for negligence – escrow holder duties/failure to follow closing instructions, and seventh cause of action for negligence – negligent advice/negligent undertaking/negligent misrepresentation in Plaintiff Roger Anderson's first amended complaint.

Request for Judicial Notice

Defendant requests this court take judicial notice of Fidelity National Title Insurance Company's certificate of authority to operate as a title insurer in the state of California (Exh. A) and FNTC's license to operate as an underwritten title company in the state of California (Exh. B).

Second and Third Causes of Action

FNTC argues the court should sustain the demurrer to the second and third causes of action for breach of contract and breach of the covenant of good faith and fair dealing on the grounds the contract is with Fidelity Insurance, not FNTC. FNTC argues the Policy does not contain, nor has Mr. Anderson identified, a single obligation which the Policy placed upon Fidelity Title. Moreover, Mr. Anderson's allegation that the two defendants are "joint venturers" does not get him past the demurrer stage. FNTC contends a title insurer and an underwritten title company cannot be joint venturers in the business of insurance. Rather, Fidelity Title is simply Fidelity Insurance's limited agent. (See Dones v. Life Ins. Co. of N. Am. (2020) 55 Cal. App. 5th 665, 689 holding "an agent is ordinarily not liable on the contract when he acts on behalf of a disclosed principal.")

In opposition, Plaintiff argues a joint venture exists when there is "an agreement between the parties under which they have a community of interest, that is, a joint interest, in a common business undertaking, an understanding

as to the sharing of profits and losses, and a right of joint control." (Simmons v. Ware (2013) 213 Cal.App.4th 1035, 1053.) Plaintiff contends the complaint sufficiently alleges community of pecuniary interest (FAC ¶8-9, 12-15, 49); joint control (FAC ¶ 16–17, 24–26, 71–72, 137–141); and shared profits and losses (FAC ¶13-15).

The court agrees Plaintiff has not sufficiently alleged a joint venture. The existence of a joint venture should establish (1) the existence of a joint interest in a common business or enterprise; (2) mutual exercise of control over the common enterprise; and (3) mutual contributions by the parties in the form of capital, services, or both. (Holtz v. United Plumbing & Heating Co. (1957) 49 Cal.2d 501, 506.) As noted in Title Ins. Co. v. State Bd. of Equalization (1992) 4 Cal.4th 715, the title company acts as the title insurer’s agent.

Accordingly, the demurrer to the second and third causes of action is SUSTAINED WITH LEAVE TO AMEND.

UCL

Defendant demurs to the fourth cause of action for violation of Business and Professions Code section 17200 on the grounds that it fails to set forth sufficient facts to constitute a cause of action against Fidelity Title.

The court agrees that plaintiff’s UCL claim is uncertain as to Fidelity Title. Neither Fidelity Title nor Fidelity Insurance had an obligation to defend plaintiff under the terms of the insurance agreement. Whether

Fidelity Title undertook some other obligation to plaintiff is unclear from the complaint.

Based on the foregoing, the demurrer is SUSTAINED WITH LEAVE TO AMEND.

Fifth, Sixth and Seventh Causes of Action

Defendant demurs to the cause of action on the grounds these causes of action run afoul of two other legal principles: the economic loss doctrine and the statute of limitations.

The court agrees as alleged the claims are barred by the economic loss doctrine. As noted in Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, claims for monetary losses between contractual parties may be barred when they arise from — or are not independent of — the parties' underlying contracts. As alleged, none of the negligence causes of action are independent of the alleged breach. As noted by Fidelity, the complaint alleges if the Becerras had executed the settlement statement, it would have aided in his defense of the action and Fidelity Title is responsible to him.

As for Defendant's statute of limitations contention, the court finds the causes of action are barred on the face of the complaint. The complaint alleges FNTC undertook services in 2021 and how Defendant breached the duty. Based on these allegations, the statute of limitations ran in 2025.

Plaintiff must allege facts showing the claims relate back, delayed discovery, etc.

Based on the foregoing, the demurrer is SUSTAINED WITH LEAVE TO AMEND.